AdWords

Online advertising commands less than a twentieth of the total ad spending revenue worldwide. In the US, online advertisements generated revenue of over $15.6 billion of $263 billion, according to the NY Post. With online ad spending growing at a rate of 25 to 30 per cent (mediapost.com) and advertisers shifting ad spending from other media to online, online advertising is set to grow at a tremendous pace. Ford motors, for example, dropped its budget for print media ads from 23.5 to 21 per cent, and increased online ad spending from 3 to 3.5 percent for the year 2006- 2007 (www.searchengineguide.com).

1.1 Enter Google

Net giants like Google and Yahoo!, whose brand name and brand recall is the highest, needless to say, get the lion's share of online ad spending. In 2006, Google was expected to get nearly a quarter of the online advertising share in the US, while Yahoo! was expected to grab about 20.7 percent of the chunk (source: news.com.com).

So what makes advertising on Google advantageous when Yahoo! is the most popular Web site, with 400 million monthly users? The simple answer is that Google commands 50 per cent of search hits the world over, with Yahoo! and MSN sliding down to 23.4 and 9.2 per cent respectively for 2006 (**www.money.cnn.com**)!

Context-based advertising on search engines allows companies of all sizes to reach their target audiences. A small company that wants to advertise in a newspaper would have to shell out thousands of rupees for a small ad, which may or may not be looked at by potential customers, whereas in context-based advertising, you only pay if interest is shown by the customer, making the money spent more worthwhile. Ads are positioned on the sponsored links